Conjoint Assignment: Netflix Monthly Subscription

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COMM 125: Digital Consumer BX

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November 12, 2025

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Methodology

Product Description

With the premiere of the final season of the hit show “Stranger Things” fast approaching, citizens everywhere are scrambling to gain access to a Netflix subscription. The most basic tier of Netflix subscription, Standard with ads, boasts features such as ad-supported access to the Netflix library, simultaneous streaming on 2 devices, and full HD (1080p) video quality for just $7.99 per month. The researcher specifically chose Netflix for this analysis due to its widespread popularity and current relevance. Being one of the longest standing global streaming platforms, Netflix continues to hold the crown as the most popular streaming service in the world by number of subscribers with over 282 million paid memberships as of 2024 (Nickinson & Karner, 2025). Also, with Stranger Things being the 3rd most watched show on the platform and its 5th season fast approaching, the internal dilemma of whether or not to subscribe is largely relevant in this current timeline. In this analysis, the researcher aims to determine which features in this plan have allowed Netflix to continuously keep their top spot even as the amount of paid video subscription services has increased in recent years.

In this analysis, four features have been selected to represent the most valued features of the Standard with ads Netflix subscription. These features are Ad presence, simultaneous streams, video quality, and cost (Appendix A). Each feature will have two levels. Ad presence will simply be divided into presence or absence of ads. Simultaneous streams (the amount of screens able to stream on the same account at the same time) will be separated into 2 screens vs. 4 screens. The remaining levels will be represented by video quality of HD vs. 4K and an actual cost of $7.99 per month vs. an alternative price of $24.99 per month.

Respondent Information

To analyze the features of a Standard with ads Netflix subscription, a respondent who holds a Netflix subscription and has strong knowledge of its features was selected to be surveyed. Vivian Chan, a 20 year old Communication major at Pepperdine University, reported that she has held a Netflix subscription since 2016 and uses it daily to watch various shows and movies to fight off boredom and feel a sense of joy/escapism. Vivian serves as a great subject to represent Netflix's target audience as an individual who enjoys watching video entertainment with daily access. The respondent was interviewed with an in-person format in which she was asked to rate her preference for how likely she would be to purchase a subscription with varying levels of each feature listed.

Conjoint Analysis

Partworth Numbers

This research utilized Partworth numbers to analyze the Standard with ads Netflix subscription (Appendix C). Through running a regression analysis, the researcher was able to better their understanding of the levels to which the respondent preferred different features of the service (Appendix B). Partworth numbers are numerical scores in a conjoint analysis which measure the relative importance of a certain feature of a product. Through this analysis, it was found that the feature the respondent felt most intensely about was ad presence. The respondent reported a strong preference towards an ad-free subscription model, accounting for 53.37% of the variance in terms of her preference rating. In other words, the presence of advertisements, or rather lack thereof, is the most important factor when choosing a type of subscription model. Thus, my chosen participant may be less likely to purchase this basic subscription model in comparison to other, ad-free models. Price contributed to the second highest variance at 30.05%. With a coefficient of -29, the participant demonstrated a relatively intense preference for the chosen Standard with ads model at $7.99 per month compared to the $24.99 other model.

Ranked third in terms of variance was simultaneous streaming, accounting for 9.33%. Through this, the participant displayed a preference for the capacity to simultaneously stream on 4 devices rather than the Standard with ads model which allows for only 2 devices. Lastly, video quality was reported to be the least important factor in variance, accounting for just 7.25%. Through this, the respondent showed a slight preference toward the other model allowing streaming in 4K vs. HD (1080p). Through this, it can be deduced that the respondent would be likely to accept a trade-off of less simultaneous streaming device amounts or lessened video quality in order to receive benefits of lower cost and less ads.

Willingness to Pay

This research also analyzed the respondent's willingness to pay for each highlighted feature (Appendix E). In other words, these calculations revealed the monetary value for which the respondent was willing to pay to gain access to each preferred feature. To most easily correlate responses to USD, calculations were rounded to the nearest hundredth value. In line with the respondent's highest preference toward ad-free values, it was concluded that our respondent would be willing to pay $30.42 per month to gain access to ad-free content viewing, which is quite surprising considering their also relatively strong preferences toward low prices. Their willingness to pay for access to additional simultaneous streaming devices was nearly six times lower, though, at just $5.31 per month. Lastly, the participant was willing to pay the least amount to gain access to 4K video quality at a willingness to pay of only $4.13 per month. Obviously, this respondent exhibits an extremely strong preference towards an ad-free viewing model, with their willingness to pay being nearly six and eight fold compared to the other researched qualities.

Limitations

When considering possible data limitations, it is imperative to account for the fact that the survey results of just one respondent cannot be generalized toward a product's entire audience population. While the respondent is a subscriber to Netflix, it is important to consider how this particular respondent's current life stages may impact their preferences. While this respondent reports a relatively small preference towards heightened simultaneous streaming, this feature may be much more highly preferred to a person who is the head of a household and is looking to provide a subscription for their children who cannot yet pay for their own. While the respondent does fit the criteria to be a target consumer for Netflix's subscription model, with over 280 million subscribers Netflix's target audience preferences cannot possibly be summed up by one college-aged participant.

Recommendations

The results of this conjoint analysis suggest that the most effective way for Netflix to appeal to consumers similar to the respondent is to prioritize an ad-free experience at a price point that still feels affordable. Since ad presence accounted for 53.37% of her preference variance and produced the highest willingness to pay value ($30.42/month), removing ads would dramatically increase the perceived value of a subscription. Since advertisements pose the largest barrier to enjoyment, Netflix could benefit most efficiently from more aggressively promoting its ad-free models when marketing to college-aged viewers, particularly during periods of high public interest such as major show releases.

Price was the respondent's second most influential factor (30.05% variance), indicating that while she is willing to pay more to remove ads, she still exhibits strong preferences toward lower base prices. To balance these two priorities, Netflix could introduce student-centered pricing structures that preserve affordability while still encouraging upgrades to ad-free plans.

Simultaneous streaming and video quality were much less influential (9.33% and 7.25% variance, respectively), suggesting that this respondent is willing to trade off features like 4K resolution or additional screens as long as the subscription remains low-cost and ad-free. Therefore, a practical product configuration for this audience would be an ad-free plan with HD quality and limited device sharing offered at a mid-tier price point. This data makes sense considering the studied demographic. The majority of traditional college students are unmarried and child-free, thus the need to have additional screens is generally less needed. Additionally, college-aged students are more likely to have better eyesight than an older audience, meaning lowered video quality is more likely to be accepted. Overall, the data indicates that reducing ad presence is by far the most impactful feature Netflix can use to increase value perception and retention among college-aged subscribers.

Appendix

Appendix A: Survey Results

Preference Rating	Ads (Yes vs No)	Simultaneous Streams (2 vs 4 screens)	Video Quality (HD vs 4K)	Price ($7.99 vs $24.99)
20	0	0	0	0
0	0	0	0	1
30	0	0	1	0
2	0	0	1	1
30	0	1	0	0
5	0	1	0	1
35	0	1	1	0
5	0	1	1	1
75	1	0	0	0
40	1	0	0	1
80	1	0	1	0
50	1	0	1	1
80	1	1	0	0
55	1	1	0	1
99	1	1	1	0
60	1	1	1	1
Key:	Ads (Yes 0 vs No 1)	Simultaneous Streams (2 screens 0 vs 4 screens 1)	Video Quality (HD 0 vs 4K 1)	Price ($7.99 0 vs $24.99 1)

Appendix B: Conjoint Analysis (Product Features + Regression)

SUMMARY OUTPUT

Regression Statistics	
Multiple R	0.9926725816
R Square	0.9853988543
Adjusted R Square	0.9800893468
Standard Error	4.418453041
Observations	16

ANOVA

	df	*SS*	*MS*	*F*	*Significance F*
Regression	4	14493	3623.25	185.5913853	0.000000005
Residual	11	214.75	19.52272727		
Total	15	14707.75			

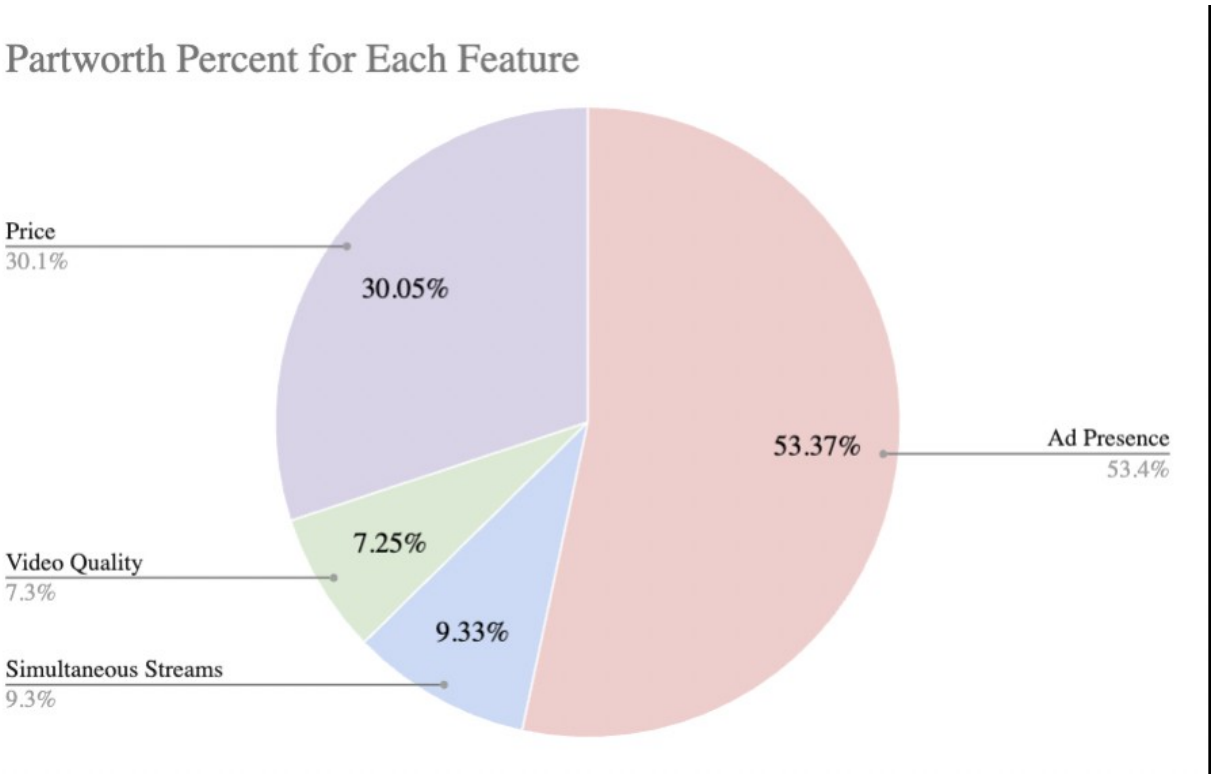
	Coefficients	*Standard Error*	*t Stat*	*P-value*	*Lower 95%*	*Upper 95%*
Intercept	22.375	2.469990339	9.058739887	0.000001966803	16.93858796	27.81141204
Ads (Yes vs No)	51.5	2.20922652	23.31132617	0.000000000102	46.63752525	56.36247475
Simultaneous Streams (2 vs 4 screens)	9	2.20922652	4.073823991	0.001839419859	4.137525252	13.86247475
Video Quality (HD vs 4K)	7	2.20922652	3.168529771	0.008942005233	2.137525252	11.86247475
Price ($7.99 vs $24.99)	-29	2.20922652	-13.12676619	0.000000046006	-33.86247475	-24.13752525

	Coefficients
Intercept	22.375
Ads (Yes vs No)	51.5
Simultaneous Streams (2 vs 4 screens)	9
Video Quality (HD vs 4K)	7
Price ($7.99 vs $24.99)	-29

Appendix C: Partworth (Computation)

Feature	Coefficients	Partworth	Partworth (%)
Ads (Yes vs No)	51.5	51.5 / 96.5 = 0.53368	53.37%
Simultaneous Streams (2 vs 4 screens)	9	9 / 96.5 = 0.09326	9.33%
Video Quality (HD vs 4K)	7	7 / 96.5 = 0.07254	7.25%
Price ($7.99 vs $24.99)	29	29 / 96.5 = 0.30052	30.05%
Coefficient Sum Calculation	51.5 + 9 + 7 + 29 = 96.5		

Appendix D: Partworth (Graph)



Appendix E: Willingness to Pay

Feature	% Partworth (%)	WTP Calculation	WTP
Ads (Yes vs No)	53.37%	$0.57 x 53.37	$30.42
Simultaneous Streams (2 vs 4 screens)	9.33%	$0.57 x 9.33	$5.31
Video Quality (HD vs 4K)	7.25%	$0.57 x 7.25	$4.13

References

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